**PRESS RELEASE**

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# Refinancing Rate for March 29, 2016

**The CBA Board Meeting of March 29, 2016 attended by Chairman Arthur Javadyan, Deputy Chairman Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Artur Stepanyan, Armenak Darbinyan, Oleg Aghasyan, and Arkady Khachatryan.**

The Board Meeting opened with presentation of Situation Report as of March 29, 2016. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 1.4% deflation in February of 2016 which was totally due to the decline in food product prices (contribution to headline deflation: 1.3 pp). In groups “Vegetable and potato”, “Fruit” and “Bread products” the prices posted decreases by 13.4%, 3.3% and 2.6%, respectively (combined contribution to deflation: 1.1 pp). The month’s 0.1 pp deflation was also fuelled by a decrease in non-food product prices, which was completely offset by as much increase in service tariffs. At the same time, there has been a significant falling of prices in the “Petrol” and “Clothes and textile” groups, whereas prices for medical services and transportation have risen. Following the inflation developments in February, the 12-month inflation rate declined further to -1.7% at the end of the month, which was largely due to the developments in the external sector.

A relatively strong economic activity indicator, 4.7%, was observable in the period January-February 2016, which was largely thanks to high growth in industry and services, by 9.9% and 9.8%, respectively. At the same time, an expansionary fiscal policy conducted over the first quarter has generated an estimated 0.4 pp expansionary impact on aggregate demand instead of the projected neutral one. In such circumstance, the domestic private demand continues to be weak, reflecting the private consumption and private investment still following a downward trend, while the domestic supply growth has largely been absorbed by grown external demand early in the year. Thus, in 2016, relative to the same period of the previous year, export (trade statistics: FOB) has increased by 23.6% while import (trade statistics: CIF) decreased by 12.2%, according to the January-February 2016 results. The net inflow of non-commercial transfers of individuals via the banking system is in line with expectations and there is an estimated 12.0%

y/y decline for the first quarter. So, one can say that a relatively strong aggregate demand has come up thanks to a faster growth of external demand compared to that of domestic demand.

The Board reflected on the developments in the financial market: these were primarily about how the market participants responded to the loosening of monetary conditions by the Central Bank at the beginning of the year. Thus, from February 17 to March 22 the financial market posted a fall in interest rates: the average CBA repo rate has dropped by 0.3 pp (from December 23, 2015 to February 16, 2016) to 8.8%, the monthly interbank repo rate has reduced by 0.3 pp to 8.7% and the average interest rate of treasury bills with up to 1-year of maturity has fallen by 0.2 pp to 11.1%.

In the domestic currency market in the period from February 17 to March 22, 2015, relative to the period from December 23, 2015 to February 16, 2016, the following trends were observable: average dram exchange rate has depreciated versus the U.S. dollar by 0.5% to AMD 490.3; versus the Euro by 1.1% to AMD 542.2 and versus the Russian ruble by 5.5 percent to AMD 6.7.

In the period January-February 2016, the world economic growth rates kept on growing slowly, with deflationary patterns persisting in international markets of basic commodities. The FAO’s February Food Price Index released as of March 3, 2016 was almost the same compared to the previous month’s index, growing a mere 0.1% (the index had dropped by 14.6% relative to the same period of the previous year).

Based on the U.S. Department of Agriculture data and the New York Board-Intercontinental Exchange data, respectively, in the first quarter of 2016 export prices of Hard Red Wheat are expected to fall by 3.7% q/q (with 23.8 percent decrease y/y), whereas the prices of Rough Sugar will post a 4.2% growth although these are still low compared to the same period last year (with 7.2 percent decrease y/y).

According to the Central Bank estimates, in the first quarter of 2016 the average price of “Brent” crude per barrel, as quoted at Intercontinental Exchange, will plunge by 20.6% against the previous quarter (with 36.4 percent reduction y/y); at the London Metal Exchange, the copper price will reduce by 4.4% q/q (with 20.1 percent decrease y/y).

In the first quarter of 2016 the Euro appreciated versus the U.S. dollar by 0.4%; relative to the same period last year, the European currency had depreciated versus the dollar by 2.4%.

New risks to deviation from the projected inflation value have emerged in terms of the impact of frost on the agricultural sector and the possible reduction of gas prices. However, since the quantitative impact of the latter is not yet clear hence cannot be evaluated, the Board of the Central Bank has not factored this is its decision-making. As soon as more accurate information is available, the Board will include those risks in the Q2 Inflation Report forecasts.

**Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.**

**In the external environment, the world's economy continued growing sluggishly and the deflation environment persisted in international commodity markets. The Board of the Central Bank believes that the impact of deflation spilling over from the external sector will linger on the domestic prices.**

**The Board admits that in January-February the Economic Activity Indicator has slightly outpaced the expectations relative to the same period of the previous year, making up 4.7%, driven mainly by high growth in industry and services. Although the Central Bank and the Government continued to implement expansionary policies during the first quarter, the domestic demand is still weak. Meanwhile, external demand and exports have considerably grown for domestic goods and services early in the year, which has totally absorbed the impact of sluggish domestic demand on aggregate demand. Consequently, the low inflation rate primarily a result of deflationary pressures transmitted from international markets of raw materials and food products, which continues to facilitate the maintaining of purchasing power of income, reducing company costs and gradual decline in inflation expectations.**

**In this circumstance, the Board believes that an abrupt loosening of monetary conditions at the end of last year is largely sufficient to neutralize deflationary pressures during the year. Therefore, at present the Board finds it expedient to continue to loosen monetary conditions gradually, as a result of which the inflationary environment will expand steadily from the**

**second half of the year, helping the 12-month inflation rate approach the target in the forecast horizon.**

**In view of anticipated economic developments and provided that extra risks in external and domestic environments will not emerge, the Board of the Central Bank will continue to loosen monetary conditions.**

**In the March 29, 2016 meeting, the Board of the Central Bank cut the Refinancing Rate by 0.25 pp to 8.25%; the Lombard Repo Facility Rate and Deposit Facility Rate were set at 9.75% and 6.75%, respectively.**

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